

RBI MASTER DIRECTION

CREDIT INFORMATION COMPANIES AND CIBIL SCORE GUIDELINES

(Mock document for educational/project purposes, based on publicly known RBI credit reporting principles)

RBI/2024-25/MD-CREDIT-INFO

Issued by: Department of Regulation, Reserve Bank of India

1. PURPOSE

This direction governs the functioning of Credit Information Companies (CICs) including CIBIL, Experian, Equifax, and CRIF Highmark, and establishes guidelines for lenders on the use of credit information in loan underwriting decisions.

2. UNDERSTANDING CREDIT SCORES

2.1 Score Range

Credit scores in India range from 300 to 900. A higher score indicates lower credit risk.

2.2 Score Bands and Risk Classification

- 750-900: Excellent — Very low risk borrower, eligible for best terms
- 700-749: Good — Low risk, standard approval likely
- 650-699: Fair — Moderate risk, may require additional scrutiny
- 600-649: Average — Higher risk, lenders should assess carefully
- 300-599: Poor — High risk, loan applications likely to face rejection or require strong mitigants

3. FACTORS AFFECTING CREDIT SCORE

Lenders should be aware that credit scores are influenced by:

- Payment history (35% weightage) — timely repayment of existing loans and credit cards
- Credit utilization (30% weightage) — percentage of available credit being used
- Length of credit history (15% weightage) — age of oldest credit account
- Credit mix (10% weightage) — diversity of credit types (secured vs unsecured)
- New credit inquiries (10% weightage) — frequency of recent loan/card applications

4. MANDATORY CREDIT CHECKS BEFORE LOAN SANCTION

4.1 All lenders must obtain a credit report from at least one CIC before sanctioning any retail loan exceeding Rs. 50,000.

4.2 Lenders must verify the following from the credit report:

- Current CIBIL/credit score
- Number of active loan accounts
- Defaults or write-offs in the last 7 years
- Late payment instances in the last 12 months
- Total credit exposure across all lenders

5. DEFAULT AND DELINQUENCY NORMS

5.1 An account is classified as default if payment is overdue by more than 90 days.

5.2 Lenders must exercise heightened caution when:

- Applicant has more than 1 default in the last 7 years
- Applicant has more than 3 late payments in the last 12 months
- Credit utilization exceeds 75% across all credit lines

6. RIGHT TO FAIR ASSESSMENT

6.1 Borrowers have the right to obtain one free credit report annually from each CIC.

6.2 Lenders must inform applicants of the specific credit score used in case of loan rejection, along with the name of the Credit Information Company.

6.3 Borrowers have the right to raise disputes regarding inaccurate information in their credit report, and CICs must resolve such disputes within 30 days.

7. USE OF CREDIT SCORE IN LOAN PRICING

Lenders are permitted to use risk-based pricing, wherein interest rates may vary based on the applicant's credit score band, provided such variation is transparently disclosed in the loan agreement.

8. DATA PRIVACY AND CONSENT

Lenders must obtain explicit consent from applicants before pulling their credit report, and credit information must not be shared with third parties without borrower consent, except as required by law.

END OF MASTER DIRECTION

This is a mock/educational document created for a GenAI capstone project demonstrating RAG-based retrieval over regulatory guidelines. Content reflects generally known RBI credit reporting principles and should not be used for actual lending decisions.